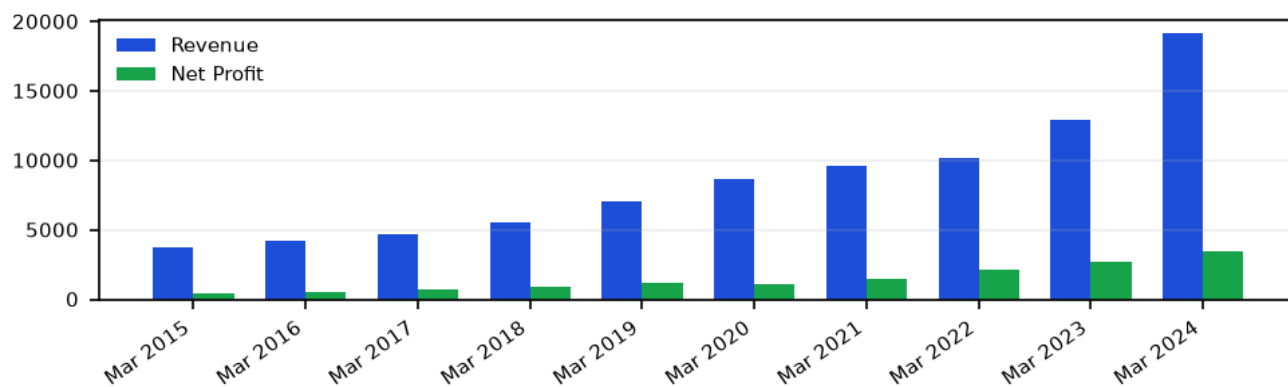


Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

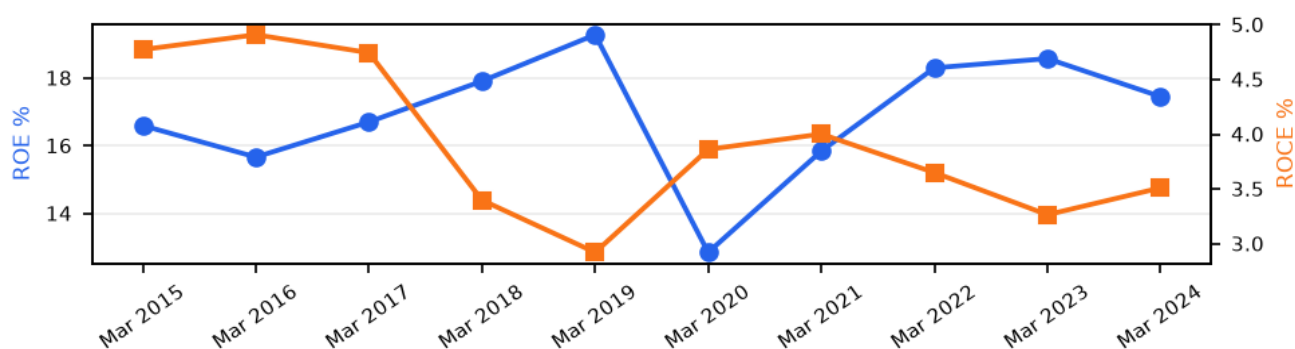
Financials

Revenue	19,163 Cr	Net Profit	3,420 Cr	ROE	17.5%
ROCE	3.5%	FCF	-38,538 Cr	Capital Pattern	Growth Funded by Debt

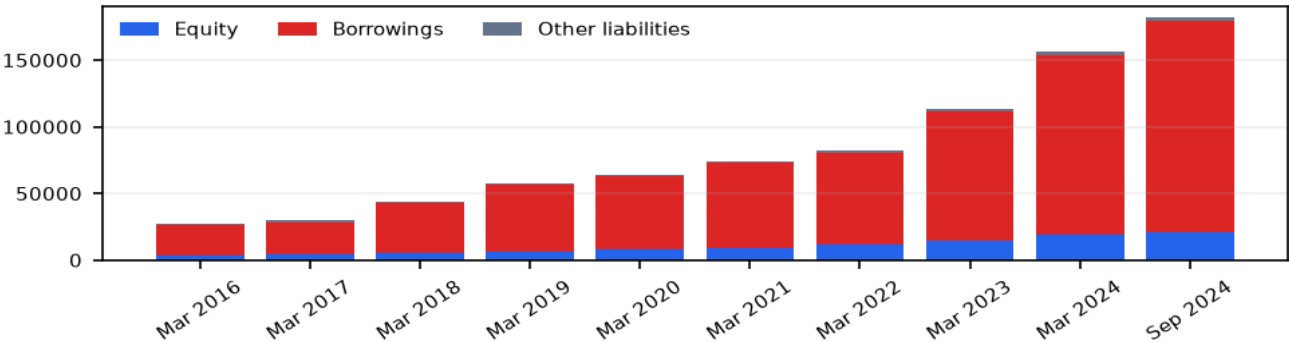
10-year Revenue and Net Profit



ROE and ROCE Trend



Balance Sheet Composition



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation

Growth Funded by Debt